

University of Allahabad v. State of U.P. and 4 Others

Allahabad High Court · Division Bench · 18 September 2018 · Writ - C No. 31212 of 2018 · **Writ petition disposed of; Chief Engineer, Purvanchal Vidyut Vitran Nigam Limited, Allahabad and the Registrar of the University to meet and decide the protective-load charge and outstanding demand in accordance with law within two months; no coercive steps on the demand notice dated 15.6.2018 for two months, the meeting to follow a representation by the University**

HEADNOTE

Where a university challenges a protective-load demand under Clause 4.27 of the U.P. Electricity Supply Code, 2005 on the ground that no agreement opting for the facility was ever executed, and the licensee relies on a 2010 request for rostering-free dedicated-feeder supply, past payment of 25% protective-load charge, and an unchallenged U.P. Electricity Regulatory Commission order treating the university as HV-1 so that 100% charge is leviable, the writ court will not construe Clause 4.27 or quash the demand. Treating the University of Allahabad as a public institution of higher education that deserves uninterrupted supply, the Court disposed of the writ by directing the Chief Engineer, Purvanchal Vidyut Vitran Nigam Limited, Allahabad, and the Registrar to meet and decide the protective-load charge and outstanding demand in accordance with law within two months. No coercive steps are to be taken on the 15.6.2018 demand for that period. The meeting is to be held upon a representation by the University highlighting its objection, with a certified copy of the order.

FACTUAL SUMMARY

The University of Allahabad challenged a demand notice dated 15 June 2018 for Rs. 4,19,75,527 plus interest as dues towards Protective Load Facility. It pleaded that Clause 4.27 of the U.P. Electricity Supply Code, 2005 permits protective load only to consumers who have opted for it in an agreement, and that no such agreement was ever arrived at. It relied on Writ-C No. 2788 of 2013 (M/s Allahabad Enterprises Pvt. Ltd. v. State of U.P.), where a Division Bench had allowed a similar challenge for want of agreement.

Counsel for the Electricity Department (respondents 4 and 5) pointed to the University's letter of 20 March 2010 requesting rostering-free supply through a dedicated feeder and a 33/11 kV sub-station, said 25% protective-load charge had been paid from 2013 until 2016, and relied on a U.P. Electricity Regulatory Commission order dated 11 May 2015 holding the University to be HV-1 so that 100% charge was leviable and the 25% LMV-4 rebate was not available. That order, he said, was unchallenged. After listings on 14 and 17 September 2018 for instructions, Abhinava Upadhyaya and Rajiv Gupta, JJ. disposed of the writ on 18 September 2018.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.27

protective-load demand — meet and decide in accordance with law; no construction of Clause 4.27

QUESTION

Where a university challenges a Clause 4.27 protective-load demand for want of agreement, and the licensee relies on a 2010 request, past 25% payment, and an unchallenged Commission HV-1 order, will the writ court decide the levy?

HOLDING

No. Without construing Clause 4.27 or quashing the demand notice dated 15.6.2018 for Rs. 4,19,75,527 plus interest towards Protective Load Facility, the writ is disposed of. The Chief Engineer, Purvanchal Vidyut Vitran Nigam Limited, Allahabad, and the Registrar of the University shall, upon a representation by the University highlighting its objection to Protective Load Charge together with a certified copy of this order, meet and decide the dispute and outstanding demand in accordance with law within two months. For two months no coercive steps shall be taken on that demand. ¶ 8-12

QUALIFIER

The Court treated the University as a public institution deserving 24-hour supply and advised a via-media; it did not decide whether an agreement under Clause 4.27 existed, whether the 20.3.2010 letter or past 25%

payment amounted to option, or whether the 11.5.2015 Commission order bound the University.

FLAG Source PDF concatenates listings of 14.9.2018 (put up as fresh on 17.9.2018; Mahboob Ahmad to appear for the Electricity Department and seek instructions) and 17.9.2018 (adjourned to 18.9.2018 as fresh) with this 18.9.2018 disposal. The 18.9.2018 order is unnumbered; paras 1-12 are sequential blocks of that disposal from 'By means of this writ petition'. Coram is the disposing bench (Abhinava Upadhyaya and Rajiv Gupta, JJ.). Petitioner quoted Clause 4.27 as granting protective load 'in exceptional cases, to be specified in agreement to those consumers, to have opted for 24 hours use of power'; the Court recited that submission and did not itself construe the clause. Respondents 4 and 5 are the electricity licensees; the cause title is State of U.P. and 04 others. The disposing direction names the Chief Engineer, Purvanchal Vidyut Vitran Nigam Limited, Allahabad.

PRINCIPLE TAGS

procedural-consider-in-accordance-with-law The Court did not grant or refuse the challenge to the 15.6.2018 protective-load demand. It disposed of the writ by directing the Chief Engineer, PuVVNL Allahabad, and the Registrar to meet and decide the dispute in accordance with law within two months, with a two-month restraint on coercive steps, the meeting to follow the University's representation. ¶ 8-12

protective-load-charges-clause-4.27-challenge The writ challenged a Rs. 4,19,75,527 protective-load demand under Clause 4.27 on the plea that no agreement opting for the facility existed. The Court recited that plea and the licensee's contrary materials but did not decide the challenge on the merits. ¶ 1-3, 10

protective-load-additional-charges-clause-4.27 Liability for protective-load additional charges under Clause 4.27, including whether 25% or 100% was leviable after the 11.5.2015 Commission order classifying the University as HV-1, was left to the directed meeting to decide in accordance with law. ¶ 1, 5, 10

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 4.27 REQUIRED AN EXECUTED AGREEMENT OPTING FOR PROTECTIVE LOAD, AND WHETHER NONE EXISTED

The petitioner quoted Clause 4.27 and relied on Allahabad Enterprises (Writ-C No. 2788 of 2013). The Court recited the submission and did not construe the clause or follow that decision. ¶ 2-3, 10

NOT DECIDED — WHETHER THE UNIVERSITY'S LETTER DATED 20.3.2010 REQUESTING ROSTERING-FREE DEDICATED-FEEDER SUPPLY CONSTITUTED AN OPTION FOR PROTECTIVE LOAD

Relied on by the licensee as Annexure 2; not decided. ¶ 4-5

NOT DECIDED — WHETHER THE U.P. ELECTRICITY REGULATORY COMMISSION ORDER DATED 11.5.2015, HOLDING THE UNIVERSITY TO BE HV-1 SO THAT 100% PROTECTIVE-LOAD CHARGE WAS LEVIABLE AND THE 25% LMV-4 REBATE WAS NOT AVAILABLE, BOUND THE UNIVERSITY AS UNCHALLENGED

The licensee submitted that respondents 4 and 5 had no option other than to levy 100% and that the University could not deny liability. Not examined. ¶ 5-6

NOT DECIDED — WHETHER PAYMENT OF 25% PROTECTIVE-LOAD CHARGE FROM 2013 UNTIL 2016 ESTOPPED THE UNIVERSITY FROM DENYING THE FACILITY

Asserted by the licensee with a chart; the Court did not find acceptance or estoppel. ¶ 5

NOT DECIDED — CORRECTNESS OR QUANTUM OF THE DEMAND OF RS. 4,19,75,527 PLUS INTEREST UNDER THE NOTICE DATED 15.6.2018

Left to the meeting of the Chief Engineer and the Registrar to decide in accordance with law. ¶ 1, 10

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>M/S Allahabad Enterprises Pvt. Ltd. v. State of U.P. and others</i> Writ - C No. 2788 of 2013			Petitioner	Relied on

